

2025

Latvia: Parex Bank Emergency Liquidity Program, 2008

Bailey Decker

YPFS, Yale School of Management

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Banking and Finance Law Commons](#), [Economic History Commons](#), [Finance Commons](#), [Finance and Financial Management Commons](#), [Law and Economics Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), and the [Public Administration Commons](#)

Recommended Citation

Decker, Bailey (2025) "Latvia: Parex Bank Emergency Liquidity Program, 2008," *Journal of Financial Crises*: Vol. 7 : Iss. 1, 309-339.

DOI: <https://doi.org/10.17132/2693-3179.1623>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/13>

This Case Study is brought to you for free and open access by the Journal of Financial Crises and EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact journalfinancialcrises@yale.edu.

READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

Latvia: Parex Bank Emergency Liquidity Program, 2008¹

*Bailey Decker*²

Yale Program on Financial Stability Case Study
April 15, 2025

Abstract

Heading into the Global Financial Crisis, JSC Parex banka was Latvia's second-largest bank in terms of assets, comprising 13.8% of total assets in the Latvian banking sector. In autumn 2008, Parex faced a capital shortfall owing to massive credit and market losses in addition to liquidity problems and deposit runs of 240 million Latvian lats (LVL; USD 428.6 million). Parex had two senior syndicated loans maturing in February and June 2009, totaling EUR 775 million (USD 992 million). Latvian authorities said they doubted that Parex would be able to pay back, extend, or replace these loans. Authorities intervened at the beginning of November 2008 to provide liquidity, take over the management, and commit to inject capital at a later date if necessary. To provide liquidity, the Latvian Treasury deposited Treasury securities with Parex that Parex could use as collateral to borrow cash from the Bank of Latvia; the transaction resulted in a term deposit liability for Parex to the Treasury. Parex also posted lower-quality collateral to Treasury for the deposits. The parliament amended its Law on Budget and Financial Management to expand the Treasury's scope for making term deposits in commercial banks. The Treasury granted liquidity support from November 2008 to August 2010. In August 2010, the Latvian Privatization Agency split Parex into a new good and remaining bad bank, at which point the liquidity support was also split. The good bank, AS Citadele banka, took four term deposits that were converted to equity for a recapitalization of LVL 103 million. The bad bank, AS Reverta, took eight term deposits, some of which were converted to equity. In total, Citadele repaid Treasury the full amount of term deposits that it owed, EUR 203.7 million, and EUR 14.7 million in interest—interest accruing since the split of the bank in August 2010 until March 2012. Citadele also paid the Treasury an additional compensation of LVL 3.5 million. In December 2011 all of Reverta's outstanding term deposits were converted to debt securities. Reverta repaid EUR 240.1 million of the principal and EUR 154.7 million in interest through 2021. As of the writing of this case, Reverta was still in liquidation. The state had lost EUR 339.7 million in liquidity support and lost a total of EUR 767.5 million in the overall rescue of Parex.

Keywords: Citadele, emergency liquidity, Latvia, Parex banka, Reverta

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc emergency liquidity provision. A survey of all the cases in this series (Kelly et al. 2025) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/>. Wiggins et al. (2022) surveys broad-based emergency liquidity programs.

² Research Associate, YPFS, Yale School of Management.

Overview

This case study describes emergency liquidity granted to JSC Parex banka. Parex also received capital injections and underwent restructuring (Decker 2024a; Decker 2024b).

Heading into the Global Financial Crisis of 2007–2009 (GFC), Parex was Latvia’s second-largest bank in terms of assets, comprising 13.8% of total assets in the Latvian banking sector. Parex was especially vulnerable to contagion, as 40% to 50% of deposits were foreign currency, nonresident deposits, a situation that the European Commission (EC) and International Monetary Fund (IMF) characterized as fragile. Parex’s loan portfolio was mostly to residents (Bojāre and Romānova 2017; EC 2008a; IMF 2009; OECD 2016). In autumn 2008, Parex faced increasing a capital shortfall owing to massive credit losses and market losses in addition to liquidity problems and deposit runs of 240 million Latvian lats (LVL; USD 428.6 million)³ (EC 2008a; FCMC 2009a; FCMC 2009b; OECD 2016). Parex’s liquidity indicator⁴ fell from 44.2% on August 31, 2008, to 31.4% on November 4, 2008; the regulatory minimum was 30%. Parex’s capital adequacy ratio (CAR) fell below the regulatory minimum of 8% on October 28, 2008 (EC 2008a; FCMC 2009b). The Financial and Capital Market Commission (FCMC) in Latvia then prohibited Parex from issuing new loans and acquiring new financial instruments. The FCMC also

Key Terms

Purpose: To provide Parex necessary liquidity	
Announcement Date	November 14, 2008
Operational Date	November 11, 2008
Termination Date	Citadele fully repaid in February 2012; Reverta has EUR 336.9 million outstanding
Legal Authority	Law on Budget and Financial Management
Administrator	Treasury, LPA
Peak Authorization	LVL 1.5 billion
Peak Outstanding	LVL 676.4 million
Collateral	Some of Parex’s loan portfolio, Treasury securities
Haircut and Recourse	Not applicable
Interest Rate and Fees	Lat-denominated: 4.66–20.27%; Euro-denominated: 4.66–11.45%
Term	Three months to seven years; Treasury lent at ever longer maturities until term deposits were converted to debt securities
Part of a Package	Term deposits were in the form of debt securities that Parex could post as collateral with the BOL to get cash
(continued)	

³ Per Bloomberg, USD 1 = LVL 0.56 and EUR 1 = LVL 0.71 on November 7, 2008. Latvia joined the European Union in 2004 and adopted the euro on January 1, 2014 (EC n.d.).

⁴ The Financial and Capital Market Commission set regulations for liquidity requirements. Parex had to hold at least 30% of the total amount of its current liabilities as liquid assets; current liabilities were defined as liabilities on demand and whose remaining term did not exceed 30 days (FCMC 2005; Parliament of Latvia 2008b).

required the bank to immediately increase its equity capital; Parex's shareholders responded by investing LVL 3 million in subordinated capital (FCMC 2009b).

However, the previous measures were insufficient to address the bank's problems. Parex had two senior syndicated loans maturing in February and June 2009, totaling EUR 775 million (USD 992 million),⁵ or nearly one-sixth of the bank's total liabilities. According to the EC, Latvian authorities doubted that Parex would be able to pay back, extend, or replace these loans. For this reason, Latvian authorities decided to take a

51% stake in Parex and provide further public support measures (EC 2008a; Epstein and Rhodes 2019). According to the FCMC's 2008 annual report, authorities did not want to give State Aid to Parex with the majority shareholders—Valērijs Kargins and Viktors Krasovickis (the two majority shareholders)—in control; the two majority shareholders owned 85% of Parex. Latvian authorities observed the experience of other countries and concluded that State Aid would be properly used and recovered only if the government owned Parex (FCMC 2009b).

Starting in early November 2008, Latvian authorities performed three major interventions to stabilize Parex and the wider Latvian financial sector. First, on November 10, the government took over the bank and replaced management by paying a token amount of LVL 2 for a 51% stake from the two majority shareholders; weeks later, the government increased its participation to 85% and completely wiped out the two majority shareholders (EC 2008a; EC 2009a; FCMC 2009b). This allowed the government to later split Parex into bad and good banks (EC 2010). The government initially acquired Parex through Latvian Mortgage and Land Bank (LHZB), a commercial bank used to develop Latvia's mortgage lending system and mortgage-backed securities (Baltic Legal n.d.; EC 2008a; LHZB 2010). The government later transferred Parex's shares to the Latvian Privatization Agency (LPA) for further recapitalization and its potential sale, because the LPA had experience in selling state-owned bank shares (FCMC 2009a; LPA 2009; Parex 2009a; Parex 2009b). Second, the Latvian Treasury deposited Treasury securities with Parex that Parex could use as collateral to borrow cash from the central bank, the Bank of Latvia (BOL) (BOL 2008b; EC 2008a; EC 2010; IMF 2009). Draws on the facility peaked at LVL 676.4 million at the end of 2008 (Parex 2010). Third, in 2009–2010, the LPA recapitalized Parex to maintain an 11% CAR (EC 2009b; Parex 2011). For more details on the recapitalization, see Decker (2024a).

Other measures included a partial withdrawal freeze for depositors, which the government prolonged in some form until January 2012 (FCMC 2008; IMF 2013; Parex 2011). Latvia also signed a Standby Arrangement (SBA) with the IMF and received support from the European

Outcomes

Citadele completely repaid EUR 203.7 million in liquidity support, plus EUR 14.7 million in interest; term deposits in Reverta were converted to debt securities in 2011; of this, Reverta repaid EUR 240.1 million plus EUR 154.7 million in interest; the remaining EUR 359.4 million will not be recovered

Notable Features

Some of the term deposits were converted to equity per the restructuring plan

⁵ Per FRED, EUR 1 = USD 1.28 on November 7, 2008.

Union (EU) other European countries, which was conditioned on a full government takeover and subsequent restructuring of Parex (see Key Design Decision No. 2, Part of a Package) (FCMC 2008; FCMC 2009b; IMF 2009; IMF 2013; Reuters 2008).

Over the course of 2009 to 2010, the LPA injected a total of LVL 313.6 million⁶ in Tier 1 capital and LVL 50.3 million in Tier 2 capital (Citadele 2011; EC 2009b; EC 2010; Parex 2011; Parex 2012). Recapitalization was also achieved by converting LVL 152.5 million of state term deposits from the Ministry of Finance into bank capital (EC 2010; Parex 2010; Treasury 2011). The Latvian government also invited the European Bank for Reconstruction and Development (EBRD) to become a shareholder in Parex to reassure stakeholders, given the EBRD's reputation and experience in bank restructuring (Parliament of Latvia 2015). The EBRD injected capital in September 2009 and July 2010 and later sold part of its stake (Citadele 2011; EBRD 2009; Parex 2009c; Reverta 2017a).

On August 1, 2010, the LPA split Parex into a good bank, AS Citadele banka, and a remaining bad bank, AS Reverta (Reverta)⁷ (Parex 2011). Citadele would focus on three core business segments in the Baltics: corporate, retail, and wealth management. Reverta would keep all noncore and nonperforming assets. Reverta's goal was to maximize asset recovery to repay State Aid until Reverta's liquidation (EC 2010; Parex 2011).

Capital and liquidity support was also restructured with the split. Citadele took LVL 50.3 million of Tier 2 capital and Reverta took the equity capital injected on March 29, 2009. At the time of the split, 16 term deposits were in effect for EUR 635 million (LVL 446 million). Eight of those deposits went to Citadele, four of which worth LVL 12 million were already terminated. Citadele's remaining four term deposits were converted into equity for a recapitalization of LVL 103 million (EC 2010; Treasury 2011). Reverta took the other eight term deposits, of which LVL 49.5 million was ultimately converted to bank capital (EC 2010; EC 2014b). In December 2011, all of Reverta's outstanding term deposits were converted to debt securities (Parex 2012; Reverta 2013). These debt securities remained with Reverta when the bad bank went into liquidation in 2017 (Reverta 2018).

On April 20, 2015, the LPA closed the sale transaction for 75% of Citadele to Ripplewood Advisors LLC and a group of 12 international co-investors for EUR 74.7 million (Citadele 2015). The EBRD maintained a 25% stake (Citadele 2011).

Including capital and liquidity support, Latvia's support for Parex peaked at EUR 1.7 billion. As of April 2015, unrecovered State Aid totaled EUR 784 million: EUR 35 million in Citadele's subordinated capital (4.5% of total unrecovered State Aid), EUR 294 million in Reverta's share capital (37.5% of total unrecovered State Aid), and EUR 455 million in bonds in Reverta converted from liquidity support (58.0% of total unrecovered State Aid) (Parliament of Latvia 2015).

⁶ This figure may be inconsistent owing to lack of clarity about recapitalizations as capital injections or as conversions from liquidity support. See Decker (2024a) for further discussion.

⁷ The bad bank initially kept the name Parex after the split on August 1, 2010, but changed its name to Reverta in May 2012 (EC 2014a; OECD 2016). For clarity, this case study refers to the post-split bad bank as Reverta.

Citadele repaid the last term deposit of State Aid in February 2015, 10 months ahead of schedule (Citadele 2013; Treasury 2013). In total, Citadele repaid the full amount of term deposits it had owed since the split, EUR 203.7 million, and EUR 14.7 million in interest—interest accruing since the split of the bank in August 2010 until March 2012. Citadele also repaid the Treasury an additional LVL 3.5 million as “additional compensation for the use of state aid in line with commitments given to the EC” (Citadele 2013).

The EBRD ended its participation in Reverta on March 7, 2017 (Reverta 2017a). The liquidation of Reverta began on July 6, 2017 (Reverta 2018). In November 2017, the LPA created a new subsidiary and limited liability company, REAP, for the sole purpose of managing Reverta’s assets and claim rights. By the end of 2017, Reverta had EUR 365.3 million in outstanding liquidity support, and the LPA wrote off its entire investment in Reverta share capital (LPA 2019; Reverta 2018). REAP sold most of the real estate assets taken over by Reverta during the course of 2018 (LPA 2019). As of the writing of this case, Reverta was still in liquidation with a total asset value of EUR 1.7 million as of December 31, 2022 (LPA 2023; Reverta 2023).

According to a parliamentary report published in December 2015, the state estimated EUR 500 million to EUR 600 million in losses (Parliament of Latvia 2015). According to Reverta’s annual report, the state had lost EUR 428.8 million in share capital and EUR 339.7million in liquidity support for a total loss of EUR 767.5 million as of December 2022 (Reverta 2023).

Figure 1 shows a timeline of major events in the rescue of Parex.

Figure 1: Timeline of Major Events in the Rescue of Parex

Date	Event
November 10, 2008	The two majority shareholders, Parex, and the Latvian government sign an investment agreement that gives LHZB a 51% stake in the bank. The two majority shareholders are removed from management.
November 11, 2008	The Treasury makes its first term deposit in Parex for LVL 200 million by injecting government securities that the bank uses as collateral for a central bank loan.
Early December 2008	Authorities revise the liquidity facility’s interest rate mechanism.
December 3, 2008	LHZB increases its stake in Parex to 85%, wiping out the two majority shareholders.
December 23, 2008	The IMF announces a Standby Arrangement with the Republic of Latvia.
February 27, 2009	LHZB transfers its shares in Parex to the LPA.
May 22, 2009	The LPA recapitalizes Parex, effectively increasing the government’s participation to 95%.
September 2009	The EBRD makes a capital injection into Parex, comprising LVL 59.5 million in share capital and a subordinated loan of EUR 18.4 million.
October 29, 2009	The LPA injects LVL 24.3 million of nonvoting shares into Parex.
February 26, 2010	The Cabinet of Ministers approves the conversion of state term deposits to bank capital, thus recapitalizing Parex by LVL 31.5 million.
July 29, 2010	The LPA increases Parex’s Tier 1 capital by LVL 99 million, which is designated for the new good bank, Citadele.

July 30, 2010	The EBRD takes a 25% stake in Citadele, for LVL 25.8 million. The subordinated loan of EUR 22 million from the EBRD is transferred to Citadele, subject to EC approval.
August 1, 2010	The LPA transfers good assets and liabilities into Citadele and leaves the rest behind in the bad bank, renamed Reverta in May 2012. The restructuring plan outlines the split of term deposits and their conversions in the good and bad banks.
December 30, 2010	The LPA increases Reverta's Tier 1 capital by LVL 9.7 million.
August 2011	The LPA increases Reverta's Tier 1 capital by LVL 20 million in ordinary shares.
November 2011	The LPA increases Reverta's Tier 1 capital by LVL 19.8 million in ordinary shares.
December 2011	All term deposits in Reverta are converted into debt securities.
February 14, 2012	Citadele repays the last term deposit of State Aid 10 months ahead of schedule.
August 10, 2012	The EC allows Latvia's proposed amendments to the restructuring plan.
April 20, 2015	Citadele's sale transaction closes. The new shareholders increase Citadele's equity capital by EUR 10 million.
January 4, 2017	Citadele repays its subordinated loan from the LPA, thereby settling its remaining obligations to the Latvian government.
March 7, 2017	The LPA buys the EBRD's stake in Reverta for EUR 1; the LPA consequently has a 96.9% stake and minority shareholders have a 3.1% stake in Reverta.
July 1, 2017	Reverta's liquidation begins.
November 14, 2017	The LPA creates a new subsidiary, REAP, to manage Reverta's assets and claim rights. The LPA writes off its entire investment in Reverta's share capital.

Source: Author's analysis.

Summary Evaluation

In a staff report published in January 2009, the IMF said that the initial intervention—comprising the 51% government stake, liquidity facility, and recapitalization commitment—was a misstep and “failed to stem the deposit run” (IMF 2009). Left unresolved by their maturity dates in February and June 2009, Parex's senior syndicated loans could have led to outflows of EUR 1 billion, according to the IMF. The IMF also said that the FCMC should reconsider its monitoring and regulatory approach toward banks primarily funded by nonresident deposits “to reflect the higher liquidity and market risks of [this] business model” (IMF 2009). The IMF suggested that the FCMC could reduce maturity mismatches created by nonresident deposits by requiring sufficient liquid foreign assets to meet potential depositor withdrawals, thereby reducing volatility in foreign funding (IMF 2009).

Context: Latvia 2007–2008	
GDP (SAAR, nominal GDP in USD)	\$29.4 billion in 2007
	\$34.1 billion in 2008
GDP per capita (SAAR, nominal GDP in USD)	\$13,371.0 in 2007
	\$15,677.6 in 2008
Sovereign credit rating (long-term debt)	Moody's: A2 in 2007
	S&P: BBB+ in 2007
	Fitch: A- in 2007
	Moody's: A3 in 2008
	S&P: BBB- *- in 2008
	Fitch: BBB in 2008
Size of banking system	\$24.7 billion in 2007
	\$31.4 billion in 2008
Size of banking system as a % of GDP	84.1% in 2007
	91.8% in 2008
Size of banking system as a % of financial system	Data not available in 2007
	Data not available in 2008
Five-bank concentration of banking system	74.7% in 2007
	76.7% in 2008
Foreign involvement in banking system	65% in 2007
	67% in 2008
Existence of deposit insurance	Yes in 2007
	Yes in 2008

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

- 1. Purpose: The Treasury's term deposits and the central bank's complementary liquidity facility allowed Parex to meet its short-term obligations until authorities could restructure or liquidate the bank.**

Parex was especially vulnerable to contagion during the GFC, as 40% to 50% of deposits were held by nonresidents, a situation that the EC and IMF characterized as fragile (Bojāre and Romānova 2017; EC 2008a; OECD 2016). In autumn 2008, Parex faced a capital shortfall owing to massive credit losses and market losses in addition to increasing liquidity problems and deposit runs of LVL 240 million (EC 2008a; FCMC 2009a; FCMC 2009b; OECD 2016). Parex's liquidity indicator fell from 44.2% on August 31, 2008, to 31.4% on November 4, 2008; the regulatory minimum was 30%. Parex's CAR fell below the regulatory minimum of 8% on October 28, 2008 (EC 2008a; FCMC 2009b).

Parex had two senior syndicated loans maturing in February and June 2009, totaling EUR 775 million. According to the EC, Latvian authorities doubted that Parex would be able to pay back, extend, or replace these loans; these senior creditors were preparing to announce default in the beginning of November 2008, which would have meant that the EUR 775 million would have been due immediately. On November 10, 2008, the government replaced management and acquired a 51% stake from Parex's two majority shareholders for a token amount of LVL 2 (EC 2008a). After the two majority shareholders failed to meet commitments pursuant to the November 10 takeover, and at the insistence of the IMF, EC, and Sweden's central bank, Latvian authorities acquired all shares owned by Kargins and Krasovickis on December 3, 2008, thus increasing the government's participation to 85% (Decker 2024b; FCMC 2009a).

On November 11, 2008, the Latvian Treasury transferred to Parex LVL 200 million in government debt securities, creating a term deposit liability for Parex to the Treasury. Parex could use the securities as collateral at the BOL to back a short-term loan so that the bank would have the necessary liquidity for its operations—mainly to honor nonresident deposit outflows (BOL 2008b; IMF 2009). The BOL contextualized Parex's importance to Latvian financial stability by noting Parex's size as the second-largest Latvian bank (BOL 2008b).

However, deposit runs continued even after the announcement of the Treasury deposit, central bank liquidity facility, recapitalization measures, and the full takeover of Parex by the government (EC 2009a; EC 2009b; IMF 2009). Thus, in early 2009, Latvian authorities sought and received approval from the EC to change the interest rate mechanism and maximum allocation of the liquidity facility (EC 2009a). In its decision, the EC noted that the liquidity facility “[served] the purpose of keeping the bank afloat until the long-term restructuring (or liquidation) plan [was] drawn up” (EC 2009a).

The September 2010 restructuring plan envisioned that LVL 218.7 million of Reverta's liquidity support would be converted to capital. With the amended restructuring plan in August 2012, this amount was reduced to LVL 118.7 million (EC 2012; EC 2014b). In actuality, Reverta converted only LVL 49.5 million of its state term deposits to capital.

Because this conversion was lower than the restructuring plan's allocation, the EC questioned whether Reverta had violated State Aid authorization. The EC ultimately decided that Reverta's emergency liquidity was limited to the minimum necessary for its resolution (see Key Design Decision No. 3, Legal Authority) (EC 2014b).

Research did not uncover other options considered for Parex's liquidity problems instead of term deposits placed by Treasury. The capital injections complemented the term deposits with regard to strengthening Parex's liquidity and solvency (see Key Design Decision No. 2, Part of a Package) (EC 2008a; EC 2009b).

2. Part of a Package: To restore confidence in Parex, Latvian authorities provided a partial freeze on withdrawals, capital injections, and guarantees. Parex was later restructured.

Broad-Based Liquidity Measures

From the end of August until the end of November 2008, the BOL sold EUR 900 million in foreign currency to defend the peg of the lat to the euro, owing to concerns about liquidity and access to outside private capital markets. During this time, BOL's official reserves fell by 20% to EUR 3.4 billion, one-third of short-term external debt but more than 100% of base money (BOL 2009; IMF 2009). Nonresident deposit runs on Parex played a large role in systemwide outflows. According to the IMF, any change in the nominal exchange rate would have immediately diminished private sector net worth in Latvia, because the majority of deposits and loans were foreign currency denominated (IMF 2009).

On October 24, 2008, the BOL lowered reserve requirements, thereby releasing LVL 200 million in liquidity (BOL 2008a; IMF 2009). The BOL lowered the reserve ratio for bank liabilities with maturities greater than two years from 6% to 5% and for other liabilities from 8% to 7% (BOL 2008a; BOL 2009). The BOL further lowered reserve requirements in November and December 2008, which released an additional LVL 380 million (IMF 2009).

In a January 2009 report, the IMF says that the BOL provided LVL 555 million (3.5% of GDP) in liquidity to the entire banking system to meet deposit runs. Of the total LVL 555 million, LVL 195 million was for an operations facility backed by domestic Treasury bills specifically issued for liquidity support to Parex (IMF 2009). The author interprets the IMF and BOL documentation to mean that the BOL released a total of LVL 1.1 billion in liquidity from August 2008 to January 2009.

Support from the IMF, EU, and European Countries

On December 23, 2008, the IMF announced a 27-month⁸ SBA for 1.5 billion special drawing rights (SDR; EUR 1.7 billion) under its Emergency Financing Mechanism, subject to the Latvian government's taking full control of Parex (FCMC 2009b; IMF 2009; Reuters 2008).

⁸ The SBA was extended to 36 months at the time of the second review (IMF 2013).

Additional support totaling EUR 7.5 million came from multilateral organizations and other European countries (IMF 2009).

Per the structural performance criteria and benchmarks under the SBA signed on December 23, 2008, Parex's management had to submit a restructuring plan to the FCMC and EC (IMF 2013). The SBA also called for broader financial sector reform (IMF 2009).

Partial Freeze, Restructuring, and Recapitalization

On December 1, 2008, Latvian authorities granted Parex's request for a partial freeze on withdrawals and transfers. The FCMC said that this measure was justified considering the run on deposits and other leveraged funds from Parex (FCMC 2008; FCMC 2009b). Withdrawals were capped at LVL 35,000 per month for individuals and for businesses with 10 or fewer employees (AFP 2008; FCMC 2008; Tapinsh 2008). Withdrawals were capped at LVL 350,000 per month for businesses with 11–250 employees (AFP 2008; FCMC 2008; Tapinsh 2008). The partial freeze did not apply to businesses with more than 250 employees (AFP 2008; Tapinsh 2008). While the partial freeze was scheduled to end by mid-2009, authorities prolonged the partial freeze in some form until January 2012 (EC 2010; IMF 2013; Parex 2011). Reverta's annual reports say that the bad bank began to repay LVL 9.9 million to depositors after the lifting of restrictions on January 2, 2012 (Parex 2012).

According to the State Aid measure approved by the EC, Latvian authorities started capital injections on May 22, 2009, to maintain an 11% CAR requirement (see Decker [2024a]) (EC 2009b; Parex 2011). On August 1, 2010, the LPA split Parex into a good bank, Citadele, and a bad bank, Reverta (Parex 2011).

The restructuring plan approved by the EC in September 2010 outlined a split of Parex into a newly established good bank called Citadele and a remaining bad bank called Reverta (EC 2014a; Parex 2011). Citadele would focus on three core business segments in the Baltics: corporate, retail, and wealth management. Latvian authorities aimed to make Citadele profitable in a sustainable manner by reducing the size of its balance sheet (EC 2010). Reverta would keep all noncore and many nonperforming assets in addition to the senior syndicated loans and legacy subordinated liabilities. Reverta's goals was to maximize the recovery of State Aid (Parex 2011). For more on the restructuring of Parex, see Decker (2024b).

Guarantees

On November 14, 2008, creditors of the senior syndicated loans were preparing to announce a default event, which meant that these loans would become due immediately rather than on their maturity dates in February 2009 and June 2009. Latvian authorities negotiated with these creditors to maintain the maturity dates in February and June, provided that the government issued a guarantee for these loans. The government also guaranteed new loans issued to refinance the syndicated loan maturing in February 2009. Latvian authorities told the EC that these guarantees would be cheaper than new borrowings, since the existing senior syndicated loans has pre-crisis interest rates (EC 2008a).

On December 16, 2008, the FCMC increased the coverage limit of the already-existing deposit insurance scheme (EC 2008b; Parliament of Latvia 1998; Parliament of Latvia 2008c). Ultimately, the guarantee did not apply to Parex owing to falling short of EC commitments (EC 2008b). Latvian authorities nevertheless assert that all guaranteed deposits were paid out.

In March 2010, Parex signed an investment agreement with the European Investment Bank (EIB) for a credit line up to EUR 100 million to finance small and medium-sized enterprises. The EIB required a government guarantee for the credit line as long as Citadele remained below investment grade (EC 2010; Treasury 2011). After the split, this credit line was transferred to Citadele (EC 2010).

3. Legal Authority: The Law on Budget and Financial Management allowed the Treasury to place term deposits at Parex.

Latvian Legal Authority

Chapter 6 of the existing Law on Budget and Financial Management (Budget and Finance Law) allowed the finance minister to authorize the Treasury to make term deposits in banks within the framework of money management (EC 2008a; Parliament of Latvia 2008a, arts. 33–34). The parliament made changes to the Law on Budget and Financial Management; some parts were effective November 26, 2008, and other parts were effective January 1, 2009. These changes allowed the finance minister to authorize the Treasury to place securities or deposits for additional reasons, in accordance with a decision from the Cabinet of Ministers (Parliament of Latvia 2008d, art. 34(1)). These additional reasons were listed in Article 8(1):

- Reduce general economic risks;
- Provide the missing financing for long-term investments and structural reforms;
- Avoid socioeconomic crisis or reduce its impact;
- Ensure the availability of financial resources in case of emergency. (Parliament of Latvia 2008d, art. 8.1)

The latest version of the law removed one of the additional four reasons that the Treasury could make term deposits: to provide the missing financing for long-term investments and structural reforms (Parliament of Latvia 2009, art. 8(1)).

The Cabinet of Ministers indeed authorized the finance minister to make additional term deposits in Parex (Cabinet of Ministers 2008).

EC Law

As a member of the EU, Latvia must comply with the prohibition on monetary financing contained in Article 123(1) of the Treaty on the Functioning of the European Union (TFEU)⁹, which reads (emphasis added):

Overdraft facilities or **any other type of credit facility** with the European Central Bank or with the central banks of the Member States (hereinafter referred to as “national central banks”) in favour of Union institutions, bodies, offices or agencies, central governments, regional, local or other public authorities, other bodies governed by public law, or **public undertakings of Member States** shall be prohibited, as shall the purchase directly from them by the European Central Bank or national central banks of debt instruments. (EU 2009, art. 123)

TFEU Article 123 prohibits the extension of liquidity to insolvent firms (at least without a state guarantee), which is considered a public undertaking (in other words, one that should be supported with state resources). The monetary financing prohibition—including its application to emergency liquidity—is EU-level law, and thus applies even to those nations that are Member States of the EU but not members of the Eurosystem. For more on the application of the monetary financing prohibition to emergency liquidity assistance, see (Arnold 2025).

Article 88 of the European Commission (EC) Treaty obligates member states to obtain EC approval of State Aid (EC 2002).

On November 24, 2008, the EC decided Latvia’s aid measures were compatible with the common market; the EC did not raise objections (see Figure 2). The EC evaluated Latvia’s intervention according to Article 87 of the EC Treaty. The EC said the liquidity facility was an appropriate measure to revive interbank lending. The EC also noted that no market investor was willing to provide emergency liquidity at the time, given Parex’s predicament (EC 2008a).

On February 11, 2009, the EC approved Latvian authorities’ proposed changes to the liquidity facility’s maximum allocation and interest rate mechanism. The EC noted that Parex still faced liquidity problems and that the initial interest rate was too high to keep the bank afloat (see Key Design Decision No. 8, Rates and Fees) (EC 2009a).

In July 2014, the EC issued a decision on whether Latvia violated State Aid authorization since its approved restructuring plan (for details, see Decker [2024b]). The EC initially questioned whether Reverta had violated State Aid authorization since the bad bank’s

⁹ The TFEU, itself based on the Treaty of Maastricht of 1992, is one of the EU’s two foundational treaties (the other being the Treaty on European Union). It sets out in detail the principles and objectives of the EU and the scope and functional responsibilities of EU institutions (the Treaty on European Union in contrast defines the EU’s purpose and lays out its institutions and form). As a technicality, before the Lisbon Treaty came into effect in 2009, TFEU Article 123 was Article 101 of the Treaty Establishing the European Community, but the content was unchanged when the Lisbon Treaty relocated the article.

outstanding liquidity support was higher than the envisioned allotment in the restructuring plan. The EC noted two considerations. First, Reverta had a lower asset quality than expected in addition to slower than expected recovery of collateral and litigation with debtors. Second, Reverta's loss of its banking license in 2011 meant that the bad bank did not need to convert further liquidity support into capital. Considering the difficulty in asset recovery and the unconverted liquidity support, the EC concluded that Reverta's emergency liquidity was limited to the minimum necessary for its resolution (EC 2014b).

Figure 2: Timeline of EC Reviews for State Aid to Parex

Date	Event
November 10, 2008	Latvian authorities communicate public support measures to the EC.
November 24, 2008	The EC does not object to Latvia's interventions. The partial nationalization does not constitute State Aid; the subordinated loans, loan guarantees, and capital injection do constitute State Aid.
February 11, 2009	The EC does not object to Latvia's amended measures surrounding LHZB's 85% stake in Parex.
March 29, 2009	Latvian authorities request changes to the form and amount of the capital injection authorized by the EC.
May 11, 2009	The EC approves the LPA's recapitalization changes, thereby increasing the government's participation to 95%. The Latvian government provides a restructuring plan to the EC.
June 15, 2009	The EC meets with Latvian authorities.
July 29, 2009	The EC issues its decision on the recapitalization and 95% takeover of Parex; the EC expresses doubts that Latvia's State Aid is compatible with the common market.
September 15, 2010	The EC finds the restructuring plan compatible with Article 107(3)(b) of the TFEU.
March 6, 2012	Latvian authorities request three changes to the restructuring plan.
August 10, 2012	The EC grants the three requested changes to the restructuring plan.
October 1, 2013	Latvia requests the postponement of the deadline to divest Citadele's wealth management business. The EC subsequently learns that Latvia violated certain aspects of previous State Aid authorization: extending the maturity of some subordinated loans in presplit Parex and later Citadele and exceeding the maximum authorization of liquidity support to Reverta.
July 9, 2014	The EC does not object to the postponement of divesting Citadele's wealth management business, maturity extensions for presplit Parex and Citadele, and increased liquidity support to Reverta.

Source: Author's analysis.

4. Administration: The Treasury placed term deposits in Parex.

Parex's finance department collaborated with the Latvian Treasury on the administration of the state-provided term deposits (Parex 2010).

Under the Ministry of Finance, the Treasury was responsible for making payments from the state to accounts in banks, called State Treasury budget accounts (Parliament of Latvia

2008a, arts. 23, 33; Parliament of Latvia 2009, arts. 23, 33). The minister of finance could use this mechanism to place deposits in Parex (Parliament of Latvia 2008a, art. 34; Parliament of Latvia 2009, art. 34).

5. Governance: The Ministry of Finance reported data to the Cabinet of Ministers.

To receive State Aid, Parex had to comply with certain behavioral restrictions (see Key Design Decision No. 12, Other Conditions). The FCMC monitored Parex's compliance with these behavioral restrictions and notified the EC if the bank breached them (EC 2008a).

According to an EC decision on September 15, 2010, independent trustees would oversee the restructuring plan implementation and compliance with certain behavioral restrictions imposed by Latvian authorities (see Decker [2024b]). The trustees would prepare detailed, regular reports for the Latvian authorities to send to the EC. The trustees would be independent of the government and the bank, pre- and post-split; the trustees would have no conflicts of interest. The EC had the discretion to approve or reject the proposed trustees (EC 2010).

6. Communication and Disclosure: Statements and reports from the government contained partial information about the liquidity facility; annual reports from the banks contained specifics on different instances of term deposits.

In early November 2008, Prime Minister Ivars Godmanis spoke to the press and presented a binary choice: either take control of Parex or allow it to enter bankruptcy. He said that the government had to protect Parex because of its size and importance in the Latvian banking system as a whole (AFP 2008; Lannin 2008). The governor of the BOL, Ilmars Rimsevics, said: "This was an attempt by the Latvian government to step in earlier rather than later" (Anderson 2008). The Ministry of Finance promised to publicly publish parts of the 77-page takeover agreement that did not contain confidential information (FCMC 2009b; Petrova 2008). Research has not uncovered any portion of the takeover agreement.

On November 14, 2008, the BOL issued a press release three days after the Treasury and BOL first supported Parex's liquidity (BOL 2008b; EC 2008a). The BOL announced that Latvian authorities were providing a short-term loan against collateral to Parex, given the disfunction and lack of trust in the interbank market. The press release did not disclose the amount, rate, term, or administration of the liquidity facility; the press release did not mention the Treasury's role in administering the facility (BOL 2008b).

On December 29, 2008, the *Latvian Journal* published an announcement from the Ministry of Finance about an additional term deposit, approved by the Cabinet of Ministers (Latvian Journal 2008). The *Latvian Journal* is the official gazette of the Republic of Latvia (Latvian Journal n.d.). This announcement disclosed the amount and purpose of the loan: EUR 287 million "intended for the purchase of euro-denominated government debt securities . . . [to ensure] the bank's ability to fulfill its obligations to depositors and other customers on time" (Latvian Journal 2008).

The Treasury's annual reports for 2008, 2009, and 2010 contained mentions of liquidity support to Parex and partial information on the term deposits (Treasury 2009; Treasury 2010; Treasury 2013). Parex, Citadele, and Reverta annual reports contain more comprehensive information on specific instances of term deposits, including currency, maturity, interest rate, amortized cost in LVL, and whether a recipient institution paid back the loan to the Treasury (Citadele 2013; Parex 2010; Parex 2011).

7. Source and Size of Funding: The government issued debt securities that Parex held as assets, which Parex then used as collateral to get cash from the BOL. The maximum allocation of the liquidity facility was LVL 1.5 billion.

To provide liquidity in November 2008, the Treasury deposited Treasury securities with Parex that the bank could use as collateral to borrow cash from the BOL; the transaction resulted in a term deposit liability for Parex to the Treasury (EC 2008a). According to the Treasury's annual report for 2008, the government issued LVL 476.1 million in securities to ensure the liquidity of Parex, which significantly increased government debt (Treasury 2009). Research finds no indication that this mechanism changed with the emergency liquidity granted in 2009 and 2010.

In February 2009, the EC approved the maximum allocation of the liquidity facility at LVL 1.5 billion (EC 2009a). See Figure 3 for usage of the liquidity facility by year.

Figure 3: Parex's Outstanding Support from Treasury, by Year (LVL millions)

	2008	2009	2010	2011	2012
Parex's Term Deposits	676.4	626.8	—	—	—
Reverta's Term Deposits	—	—	450.4	428.0	387.7
Citadele's Term Deposits	—	—	131.0	32.7	0

Sources: Parex 2010; Parex 2011; Parex 2012; Reverta 2013.

The September 2010 restructuring plan envisioned that LVL 218.7 million of Reverta's liquidity support would be converted to capital. With the amended restructuring plan in August 2012, this amount was reduced to LVL 118.7 million (EC 2012; EC 2014b). In actuality, Reverta converted only LVL 49.5 million of its state term deposits to capital (see Figure 4). Because this conversion was lower than the restructuring plan's allocation, the EC questioned whether Reverta had violated State Aid authorization of maximum outstanding liquidity support. The EC noted two considerations. First, Reverta had a lower asset quality than expected in addition to slower than expected recovery of collateral and litigation with debtors. Second, Reverta's loss of its banking license in 2011 meant that the bad bank did not need to convert further liquidity support into capital. Considering the difficulty in asset recovery and the unconverted liquidity support, the EC concluded that Reverta's emergency liquidity was limited to the minimum necessary for its resolution (EC 2014b).

Figure 4: Liquidity Caps and Outstanding Liquidity for Reverta, by Date (LVL millions)

Scenario	Aug. 1, 2010	Dec. 31, 2010	Dec. 31, 2011	Dec. 31, 2012	Dec. 31, 2013
Cap: Worst Case	458	446	419	344	307
Cap: Base Case	458	446	419	349	315
Cap: Best Case	458	446	419	356	322
Actual	446	446	428	385	307

Source: EC 2014b.

8. Rates and Fees: Latvian authorities first based the rate on the RIGIBID plus a risk premium; they later lowered the rate to the funding cost of the state plus the credit risk of the bank—because the previous rate threatened Parex’s capital.

On November 11, 2008, the Treasury made a term deposit of LVL 200 million with an interest rate of 20.27%. The rate was calculated from the following: one-year RIGIBID¹⁰ rate at the time of the liquidity extension, plus a risk premium—determined as the five-year median credit default swap (CDS) value of quoted banks with the same rating category as Parex—plus 75 basis points (bps) (EC 2008a).

In early December 2008, Latvian authorities revised the interest rate mechanism because the high fees could have eroded Parex’s capital and would have been counter to the purpose of the liquidity facility: keep Parex afloat until its restructuring and/or liquidation. The interest rates were based on the funding cost of the state plus a margin for the credit risk of Parex. For lat-denominated term deposits, Latvian authorities used the annual yield of the most recently issued domestic Treasury bills for the funding cost of the state. The credit risk margin comprised a risk premium of 0.9%: a risk premium of 0.4% (five-year median CDS spread of A-rated banks for the reference period) plus an add-on fee of 0.5% (EC 2009a). Throughout the liquidity facility, these ranged from 11.4% to 12.3% (EC 2008a; Treasury 2010). For euro-denominated term deposits, the funding cost of the state was the sum of: the credit spread over euro-denominated swap mid-yield rate as priced at the time of the latest issue of Eurobonds for Latvia—equaling 1.2% at the time—and the swap mid-yield rate for the European Monetary Union benchmark five-year bonds on the day preceding the provision of funding. Throughout the liquidity facility, these ranged from 4.7% to 5.9% (see Figure 5) (EC 2009a; Parex 2010; Parex 2011).

Per the restructuring plan that outlined the split into good and bad banks on August 1, 2010, Citadele and Reverta would pay state funding costs plus a 50-bp add-on fee. In April 2011, Latvian authorities imposed an incentive fee on the good bank, Citadele, so that the bank would refinance itself on the markets: the interest rate would be increased by up to 15 bps each quarter (EC 2010).

¹⁰ The BOL introduced two money market indexes on January 12, 1998: RIGIBID (Riga Interbank Bid Rate) and RIGIBOR (Riga Interbank Offered Rate) (BOL 1999). The indexes were based on the interbank bid and offer rates submitted by banks most active in money markets, including Parex (BOL 1999).

Throughout the remainder of the liquidity facility, the rates ranged from 4.66% to 4.68% for term deposits in euros (Cabinet of Ministers 2008; EC 2008a; Latvian Journal 2008; Parex 2010; Parex 2011).

As of January 1, 2011, Citadele's interest rate for the state term deposits was lowered from 10.0% per annum to 5.0% per annum (Citadele 2011).

9. Loan Duration: The duration of term deposits ranged from three months to seven years. The term deposits were restructured with the split into bad and good banks.

Duration of Deposits before the Split

The duration of the term deposits ranged from three months to seven years—maturities lengthening with successive term deposits (see Figure 5) (Parex 2010; Parex 2011). According to the Treasury's annual report for 2008, authorities chose three-month maturities for many of the term deposits to align with the Latvian Central Government Debt Management Strategy. Under normal financial market conditions, the Treasury would have issued longer-term deposits. However, in consideration of the partial refinancing of securities under the IMF program, the Treasury said it wanted to reduce one-year and three-year maturity profiles (Treasury 2009).

Figure 5: Term Deposit Placement in Parex, by Date

Agreement Date	Maturity Date	Duration	Currency	Fee
Nov. 11, 2008	Nov. 11, 2009	1 year	LVL	20.3%
Nov. 12, 2008	Nov. 19, 2008	7 days	LVL	Unknown
Dec. 23, 2008	Unknown	Unknown	EUR	Unknown
Oct. 9, 2009	Jan. 8, 2010	3 months	EUR	4.7%
Oct. 23, 2009	Jan. 22, 2010	3 months	EUR	4.7%
Nov. 6, 2009	Feb. 5, 2010	3 months	EUR	4.7%
Nov. 6, 2009	Feb. 5, 2010	3 months	LVL	11.5%
Nov. 17, 2009	Feb. 17, 2010	3 months	EUR	4.7%
Nov. 17, 2009	Feb. 17, 2010	3 months	EUR	4.7%
Nov. 17, 2009	Feb. 17, 2010	3 months	EUR	4.7%
Aug. 5, 2010	Aug. 5, 2011	1 years	EUR	5.1%
Aug. 5, 2010	Aug. 5, 2011	1 year	EUR	5.1%
Aug. 5, 2010	Feb. 5, 2012	1.5 years	EUR	5.1%
Aug. 5, 2010	Aug. 5, 2012	2 years	EUR	5.1%
Aug. 5, 2010	Feb. 5, 2013	2.5 years	EUR	5.1%
Aug. 5, 2010	Aug. 5, 2013	3 years	EUR	5.1%
Aug. 5, 2010	Feb. 5, 2014	3.5 years	EUR	5.1%
Aug. 5, 2010	Aug 5, 2014	4 years	EUR	5.1%
Aug. 5, 2010	Feb. 5, 2015	4.5 years	EUR	5.1%
Aug. 5, 2010	Aug. 5, 2015	5 years	EUR	5.1%
Aug. 12, 2010	Aug. 12, 2015	5 years	EUR	5.2%
Aug. 12, 2010	Feb. 12, 2016	5.5 years	EUR	5.2%

Agreement Date	Maturity Date	Duration	Currency	Fee
Aug. 12, 2010	Aug. 12, 2016	6 years	EUR	5.2%
Aug. 12, 2010	Feb. 12, 2017	6.5 years	EUR	5.2%
Aug. 12, 2010	Aug. 12, 2017	7 years	EUR	5.2%
Aug. 13, 2010	Aug. 13, 2017	7 years	EUR	5.2%

Note: This table endeavors to combine sources to have a full accounting of term deposits placed by the Treasury; however, the information from the various sources does not perfectly align.

Sources: EC 2008a; FCMC 2009a; Parex 2010; Parex 2011; Latvian Journal 2008.

Restructuring of Term Deposits

When Parex was split into bad and good banks on August 1, 2010, Reverta and Citadele, respectively, 16 term deposits were in effect for EUR 635 million (LVL 446 million). Eight of those 16 deposits went to Citadele, four of which worth LVL 12 million were already terminated. The remaining four term deposits were converted into equity for a recapitalization of LVL 103 million (EC 2010; Treasury 2011).

Reverta converted LVL 49.5 million of its term deposits to capital as of December 2011 after which point no further conversions took place (EC 2012). On December 29, 2011, all of Reverta's outstanding term deposits were converted to debt securities (Parex 2012; Reverta 2013). These debt securities remained with Reverta when the bad bank went into liquidation in November 2017. Given that Reverta had EUR 365.3 million in issued debt securities and EUR 9.8 million in assets as of December 2017, the outstanding liquidity support would not be recovered (Reverta 2018).

Reverta and Citadele could repay their term deposits earlier if the banks themselves or their assets were sold (EC 2010).

Citadele Fully Repaid Liquidity Support

On February 14, 2012, Citadele repaid the last term deposit of State Aid, 10 months ahead of schedule (Citadele 2013; Treasury 2013). In total, Citadele repaid the full amount of term deposits it had owed since the split, EUR 203.7 million, and EUR 14.7 million in interest—interest accruing since the split of the bank in August 2010 until March 2012. Citadele also paid the Treasury an additional LVL 3.5 million as “additional compensation for the use of State Aid in line with the commitments given to the EC” (Citadele 2013).

Reverta Still Owes Liquidity Support

In early 2012, all term deposits in Reverta were converted to dematerialized, closed-issue bonds; term deposits by the Treasury were discontinued (Treasury 2013). Public reports from the Treasury indicate that Reverta repaid interest from 2014 to December 29, 2017 (see Figure 6) (Reverta 2023; Treasury 2015; Treasury 2016; Treasury 2017; Treasury 2018).

The liquidation of Reverta began on July 1, 2017. Later, on November 14, 2017, the LPA created a new subsidiary and limited liability company, REAP, for the sole purpose of managing Reverta's assets and claim rights. Thus, Reverta decreased its total debt to the state by EUR 19.3 million (Reverta 2018). Also in November 2017, the Cabinet of Ministers decided not to assess late interest payments by Reverta (Reverta 2023).

Figure 6: Emergency Liquidity Assistance Repaid by Reverta (EUR millions)

Year	Principal Repaid	Interest Paid
2010	—	13.8
2011	10.0	—
2012	61.2	28.5
2013	32.2	25.1
2014	60.0	25.2
2015	30.7	22.3
2016	40.0	20.0
2017	—	19.8
2018	5.0	—
2021	1.0	—
Total Recovered	240.1	154.7

Note: If information is not provided for the principal or interest repaid, the author could not find information in Reverta's annual reports to this effect.

Sources: Parex 2011; Parex 2012; Reverta 2013; Reverta 2014; Reverta 2015; Reverta 2016; Reverta 2017b; Reverta 2019; Reverta 2022.

As of December 31, 2022, Reverta still owed EUR 359.4 million to the Treasury, backed by total assets of EUR 1.7 million (Reverta 2023).

10. Balance Sheet Protection: Parex pledged part of its loan portfolio as collateral for the term deposits from the Treasury.

In November 2008, the Treasury deposited Treasury securities with Parex that the bank could use as collateral to borrow cash from the BOL; the transaction resulted in a term deposit liability for Parex to the Treasury (EC 2008a). Available documentation does not explicitly confirm that this mechanism persisted with the emergency liquidity granted in 2009 and 2010.¹¹

Parex also pledged part of its loan portfolio—standard loans and a small amount of supervised loans (0.006% of total pledged loans)—as collateral for its term deposits from the Treasury (EC 2009a; Parex 2010; Parex 2011). In Latvia, standard loans were repaid without delay, whereas supervised loans could delay repayment up to 30 days (EC 2009a). See Figure 7 for assets pledged from year to year.

¹¹ Reverta's annual report for 2022 suggests that the Ministry of Finance also received collateral in the form of commercial paper, but other documentation does not confirm this (Reverta 2023).

Figure 7: Total Assets Pledged by Parex, Reverta, and Citadele as Collateral for Liquidity Support (LVL millions)

Date	12.31.08	12.31.09	12.31.10	12.31.11	12.31.12	12.31.13
Parex: Assets Pledged	676.4	626.8	—	—	—	—
Parex: Outstanding	676.4	626.8	—	—	—	—
Reverta: Assets Pledged	—	—	446.3	428.0	387.7	364.5
Reverta: Outstanding	—	—	450.4	428.0	387.7	364.5
Citadele: Assets Pledged	—	—	131.0	32.7	0	0
Citadele: Outstanding	—	—	131.0	33.3	0	0

Sources: Citadele 2011; Citadele 2012; Parex 2010; Parex 2011; Reverta 2013; Reverta 2014.

11. Impact on Monetary Policy Transmission: Research did not uncover an impact on monetary policy transmission.

Research did not uncover any impact by the liquidity facility on monetary policy transmission.

12. Other Conditions: Latvian authorities conditioned State Aid on certain behavioral restrictions for EC compliance.

Latvian authorities placed behavioral constraints on Parex to avoid undue distortions of competition for EC compliance with a view to State Aid. The FCMC monitored Parex's compliance with these restrictions and would take necessary action in the event of noncompliance. The FCMC would also notify the EC. See Figure 8 for behavioral restrictions at the start of the liquidity facility and the partial nationalization of Parex (EC 2008a).

Figure 8: Initial Behavioral Restrictions on Parex

Category	Restriction
Size of Total Assets	The aggregate amount of assets on Parex's balance sheet for any calendar quarter cannot accrue proportionally more than the Latvian gross domestic product (GDP). The Latvian Central Statistical Bureau provides the necessary figures to calculate this restriction.
Size of Mortgage Portfolio	The size of Parex's mortgage loan portfolio relative to the aggregate size of all acting Latvian credit institutions' mortgage loan portfolio for more than one consecutive calendar quarter cannot exceed the proportional ratio between the two as of September 30, 2008. The size of Parex's loan portfolio relative to the aggregate size of all acting credit institutions' loan portfolio for more than one consecutive calendar quarter cannot exceed the proportion between the two as of September 30, 2008.
Marketing	Parex, LHZB, and the two majority shareholders cannot promote the bank's business through public announcements or other marketing activities that refer to the government guarantees or aid that Parex receives according to the November 10 agreement.
Acquisitions	Parex cannot acquire other companies and/or businesses and cannot undertake significant investments while it benefits from State Aid.

Source: EC 2008a.

Per the amended investment agreement on December 3, 2008, the behavioral restraints on Parex remained essentially the same except for one change to match the behavioral constraints imposed on banks under the Latvian guarantee scheme (EC 2008b; EC 2009a). In effect, Latvian authorities no longer placed balance sheet restrictions on Parex's loan portfolios (EC 2009a). After the split, the good and bad banks had respective behavioral restrictions; for further details, see Decker (2024b).

References and Key Program Documents

Summary of Program

(Baltic Legal n.d.) Baltic Legal. n.d. "Mortgage and Land Bank of Latvia." Accessed September 18, 2023.

Webpage containing information on the establishment and mission of LHZB.

<https://elischolar.library.yale.edu/ypfs-documents2/2082>

(FCMC 2009a) Financial and Capital Market Commission (FCMC). 2009a. "Overview of JSC Parex Banka Takeover." May 5, 2009.

Summary timeline of Parex's takeover.

<https://elischolar.library.yale.edu/ypfs-documents2/1911>

Implementation Documents

(BOL 2008a) Bank of Latvia (BOL). 2008a. Letter from Bank of Latvia Governor Ilmārs Rimšēvičs to ECB President Jean-Claude Trichet.

Letter from the BOL governor to the ECB on the Latvian government's measures to stabilize the financial sector.

<https://elischolar.library.yale.edu/ypfs-documents2/1295/>

(Cabinet of Ministers 2008) Cabinet of Ministers. 2008. "Minutes of the Meeting of the Cabinet of Ministers of the Republic of Latvia." November 22, 2008.

Minutes of a meeting during which the Cabinet of Ministers discussed additional term deposits in Parex (in Latvian).

<http://elischolar.library.yale.edu/ypfs-documents2/1838>

Legal/Regulatory Guidance

(EC 2002) European Commission (EC). 2002. European Commission Treaty, Article 88. December 24, 2002.

Section of the EC Treaty obligating member state to obtain approval of State Aid affecting the common market.

<https://elischolar.library.yale.edu/ypfs-documents2/1307>

(EC 2008a) European Commission (EC). 2008a. "State Aid – NN 68/2008 – Latvia Public Support Measures to JSC Parex Banka." November 24, 2008.

EC decision allowing the initial placement of term deposits in Parex.

<https://elischolar.library.yale.edu/ypfs-documents2/1298>

(EC 2008b) European Commission (EC). 2008b. "State Aid – N 638/2008 – Guarantee Scheme for Banks in Latvia." December 12, 2008.

EC decision on Latvia's Deposit Guarantee Fund.

<https://elischolar.library.yale.edu/ypfs-documents2/1300>

(EC 2009a) European Commission (EC). 2009a. "State Aid – NN 3/2009 – Latvia Modifications to the Public Support Measures to JSC Parex Banka." February 11, 2009. *EC decision on the amended investment agreement increasing the government's stake to 85%.* <https://elischolar.library.yale.edu/ypfs-documents2/1300>

(EC 2009b) European Commission (EC). 2009b. "State Aid – N 189/2009 – Latvia Modifications to the Public Support Measures to JSC Parex Banka." May 11, 2009. *EC decision on capital injections that increased the LPA's stake to 95%.* <https://elischolar.library.yale.edu/ypfs-documents2/1301>

(EC 2010) European Commission (EC). 2010. "Commission Decision on the State Aid C 26/09 (Ex N 289/09) Which Latvia Is Planning to Implement for the Restructuring of AS Parex Banka." September 15, 2010. *EC decision on the split of Parex into bad and good banks.* <https://elischolar.library.yale.edu/ypfs-documents2/1303>

(EC 2012) European Commission (EC). 2012. "State Aid – SA.34747 (2012/NN) – Amendments to Parex Restructuring Plan – Latvia." August 10, 2012. *EC decision on amendments to Parex's restructuring plan.* <https://elischolar.library.yale.edu/ypfs-documents2/1304>

(EC 2014a) European Commission (EC). 2014a. "State Aid – SA.36612 (2014/C) (Ex 2013/NN) – Latvia Aid Granted by Latvia to AS Citadele Banka and AS Reverta (Formerly Known as AS Parex Banka) as Well as Misuse of Aid." April 16, 2014. *EC document containing information on the name change to Reverta.* <https://elischolar.library.yale.edu/ypfs-documents2/1305>

(EC 2014b) European Commission (EC). 2014b. "Commission Decision (EU) 2015/162 on the State Aid SA.36612 (2014/C) (Ex 2013/NN) Implemented by Latvia for Parex." July 9, 2014. *EC decision on possible violations of State Aid.* <https://elischolar.library.yale.edu/ypfs-documents2/1740>

(EU 2009) European Union (EU). 2009. Treaty on the Functioning of the European Union. 5/8/2008. *Treaty prohibiting monetary financing by Eurosystem national central banks.* <https://elischolar.library.yale.edu/ypfs-documents2/3841>

(FCMC 2005) Financial and Capital Market Commission (FCMC). 2005. "Liquidity Requirements Fulfillment Rules." December 23, 2005. *Regulation on liquidity requirements (in Latvian).* <https://elischolar.library.yale.edu/ypfs-documents2/1314>

(FCMC 2008) Financial and Capital Market Commission (FCMC). 2008. "On the Determination of Limits on the Performance of Obligations for the Joint-Stock Company 'Parex Banka'." December 1, 2008.

Decision by the FCMC and Cabinet of Ministers to enact a partial freeze on withdrawals and transfers (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1308>

(Parliament of Latvia 1998) Parliament of Latvia. 1998. Law on Deposit Guarantees for Individuals. June 3, 1998.

Law establishing Latvia's deposit insurance scheme (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/253>

(Parliament of Latvia 2008a) Parliament of Latvia. 2008a. Law on Budget and Financial Management. January 1, 2008.

Legal authority used by the Cabinet of Ministers to commit to recapitalizing Parex on November 24, 2008 (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1381>

(Parliament of Latvia 2008b) Parliament of Latvia. 2008b. "Law on Credit Institutions." July 23, 2008.

Law outlining the process of restoring solvency, satisfying creditors' demands, and preventing bankruptcy (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1311>

(Parliament of Latvia 2008c) Parliament of Latvia. 2008c. Amendments to the Deposit Guarantee Law. October 17, 2008.

Amendment to Latvia's deposit-guarantee system, increasing the maximum compensation (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents/12531/>

(Parliament of Latvia 2008d) Parliament of Latvia. 2008d. Law on Budget and Financial Management. November 26, 2008.

Revised version of the Law on Budget and Financial Management, effective from November 26, 2008, to December 31, 2008 (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1381/>

(Parliament of Latvia 2009) Parliament of Latvia. 2009. Law on Budget and Financial Management. January 1, 2009.

Version of the Law on Budget and Financial Management, containing Article 81, effective on the date of the first capital injection (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/2720/>

Media Stories

(AFP 2008) Agence France Presse (AFP). 2008. "Latvia Restricts Withdrawals from Second Biggest Bank: Regulator." Agence France Presse, December 2, 2008.

News article on the partial freeze on withdrawals and transfers from Parex.

<https://elischolar.library.yale.edu/ypfs-documents2/1316>

(Anderson 2008) Anderson, Robert. 2008. "Latvia Takes over Parex after Run on Bank." Financial Times, November 9, 2008.

News article containing the BOL governor's characterization of Parex's partial nationalization.

<https://elischolar.library.yale.edu/ypfs-documents2/1317>

(Lannin 2008) Lannin, Patrick. 2008. "Update 1-Latvia Bails out 2nd Largest Bank as Crisis Hits." Reuters, November 8, 2008.

News article containing the prime minister's characterization of Parex's partial nationalization.

<https://elischolar.library.yale.edu/ypfs-documents2/1321>

(Petrova 2008) Petrova, Alla. 2008. "Parex Banka Takeover Agreement Signed." Baltic Course, November 11, 2008.

News article reporting the Ministry of Finance's promise to publicly release parts of the takeover agreement.

<https://elischolar.library.yale.edu/ypfs-documents2/1324>

(Reuters 2008) Reuters. 2008. "Latvia Names Ex-Telecom Boss to Head Rescued Parex." Reuters, December 5, 2008.

News article reporting the 85% takeover of Parex and a statement from the finance minister.

<https://elischolar.library.yale.edu/ypfs-documents2/1325>

(Tapinsh 2008) Tapinsh, Aleks. 2008. "Latvia Restricts Withdrawals from Bank, Government May Up Stake." Agence France Presse, December 2, 2008.

News article reporting the details of the partial freeze on Parex.

<https://elischolar.library.yale.edu/ypfs-documents2/1326>

Press Releases/Announcements

(BOL 2008b) Bank of Latvia (BOL). 2008b. "On Providing Liquidity and Stability of the Lats in View of the Situation in the World Financial Markets." Press release, November 14, 2008.

Press release announcing emergency lending to Parex.

<https://elischolar.library.yale.edu/ypfs-documents2/1848>

(Citadele 2015) AS Citadele banka (Citadele). 2015. "Sale of Citadele Shares Completed, Share Price: EUR 74.7 Million." Press release, April 20, 2015.

Press release announcing the completion of the sale of Citadele to Ripplewood.

<https://elischolar.library.yale.edu/ypfs-documents2/1330>

(EBRD 2009) European Bank for Reconstruction and Development (EBRD). 2009. "EBRD Board Approves Finance Package for Parex Bank." Press release, April 7, 2009.
Press release announcing the EBRD's investment agreement for Parex.
<https://elischolar.library.yale.edu/ypfs-documents2/1331>

(Latvian Journal 2008) Latvian Journal. 2008. "At the Meeting of the Cabinet of Ministers: December 22, 2008." Release No. 201, December 29, 2008.
Article about the topics discussed at the meeting of the Cabinet of Ministers of Latvia on December 22, 2008 (in Latvian).
<https://elischolar.library.yale.edu/ypfs-documents2/3440>

(Parex 2009a) Parex banka (Parex). 2009a. "State-Owned Shares of Parex Banka to Be Transferred into Holding of the Latvian Privatisation Agency." Press release, February 24, 2009.
Press release on the transfer of shares from LHZB to the LPA.
<https://elischolar.library.yale.edu/ypfs-documents2/2000>

(Parex 2009b) Parex banka (Parex). 2009b. "Privatisation Agency Becomes the Majority Shareholder of Parex Banka." Press release, March 2, 2009.
Press release announcing the transfer of Parex from LHZB to the LPA.
<https://elischolar.library.yale.edu/ypfs-documents2/1929>

Reports/Assessments

(BOL 1999) Bank of Latvia (BOL). 1999. Annual Report 1998.
Annual report by the BOL for 1998.
<https://elischolar.library.yale.edu/ypfs-documents2/1704/>

(BOL 2009) Bank of Latvia (BOL). 2009. Annual Report 2008.
Annual report by the BOL for 2008.
<https://elischolar.library.yale.edu/ypfs-documents2/1334/>

(Citadele 2011) AS Citadele banka (Citadele). 2011. Annual Report 2010 for the Six-Month Period Ended 31 December 2010.
Annual report by Citadele for the second half of 2010 (translated by Citadele).
<https://elischolar.library.yale.edu/ypfs-documents2/1335/>

(Citadele 2012) AS Citadele banka (Citadele). 2012. Annual Report 2011.
Annual report by Citadele for 2011 (translated by Citadele).
<https://elischolar.library.yale.edu/ypfs-documents2/1337>

(Citadele 2013) AS Citadele banka (Citadele). 2013. Annual Report 2012.
Annual report by Citadele for 2012 (translated by Citadele).
<https://elischolar.library.yale.edu/ypfs-documents2/1338>

(FCMC 2009b) Financial and Capital Market Commission (FCMC). 2009b. THIS Annual Report and Activity Report 2008.

Annual report by the FCMC for 2008.

<https://elischolar.library.yale.edu/ypfs-documents/12520>

(IMF 2009) International Monetary Fund (IMF). 2009. "Republic of Latvia: Request for Stand-By Arrangement." IMF Country Report No. 09/3, January 2009.

Summary of Latvia's Stand-By Arrangement with the IMF.

<https://elischolar.library.yale.edu/ypfs-documents2/1345>

(IMF 2013) International Monetary Fund (IMF). 2013. "Republic of Latvia: Ex Post Evaluation of Exceptional Access under the 2008 Stand-By Arrangement." IMF Country Report No. 13/30, January 2013.

Ex post report by the IMF on the 2008 SBA with Latvia.

<https://elischolar.library.yale.edu/ypfs-documents2/1346>

(LHZB 2010) Latvian Mortgage and Land Bank (LHZB). 2010. Condensed Consolidated and Bank Financial Statements 2009 (Unaudited).

Financial statements by LHZB for 2009.

<https://elischolar.library.yale.edu/ypfs-documents2/1745>

(LPA 2009) Latvian Privatization Agency (LPA). 2009. Annual Report 2008.

Annual report by the LPA for 2008 (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1716>

(LPA 2019) Latvian Privatization Agency (LPA). 2019. Annual Report 2018.

Annual report by the LPA for 2018 (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1693>

(LPA 2023) Latvian Privatization Agency (LPA). 2023. Annual Report 2022.

Annual report by the LPA for 2022 (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1696>

(OECD 2016) Organisation for Economic Co-Operation and Development (OECD). 2016.

"Latvia: Review of the Financial System." Committee on Financial Markets, April 2016.

Report by the OECD on Latvia's financial system.

<https://elischolar.library.yale.edu/ypfs-documents2/1353>

(Parex 2009c) Parex banka (Parex). 2009c. Interim Report for the First Half of 2009.

Half-year report by Parex for 2009.

<https://elischolar.library.yale.edu/ypfs-documents2/1355>

(Parex 2010) Parex banka (Parex). 2010. Annual Report 2009.

Annual report by Parex for 2009.

<https://elischolar.library.yale.edu/ypfs-documents2/3443/>

(Parex 2011) Parex banka (Parex). 2011. Annual Report 2010.
Annual report by Parex for 2010.
<https://elischolar.library.yale.edu/ypfs-documents2/1357>

(Parex 2012) Parex banka (Parex). 2012. Annual Report 2011.
Annual report by Parex for 2011.
<https://elischolar.library.yale.edu/ypfs-documents2/1768>

(Parliament of Latvia 2015) Parliament of Latvia. 2015. "Final Report of the Parliamentary Commission of Inquiry." December 17, 2015.
Parliamentary report on the sale of Citadele (in Latvian).
<https://elischolar.library.yale.edu/ypfs-documents2/1761>

(Reverta 2013) Reverta. 2013. Annual Report 2012.
Annual report by Reverta for 2012.
<https://elischolar.library.yale.edu/ypfs-documents2/1770>

(Reverta 2014) Reverta. 2014. Annual Report 2013.
Annual report by Reverta for 2013.
<https://elischolar.library.yale.edu/ypfs-documents2/1769>

(Reverta 2015) Reverta. 2015. Annual Report 2014.
Annual report by Reverta for 2014.
<https://elischolar.library.yale.edu/ypfs-documents2/1772>

(Reverta 2016) Reverta. 2016. Annual Report 2015.
Annual report by Reverta for 2015.
<https://elischolar.library.yale.edu/ypfs-documents2/1773>

(Reverta 2017a) Reverta. 2017a. Unaudited Condensed Financial Report for the First Half of 2017.
Half-year report by Reverta for 2017.
<https://elischolar.library.yale.edu/ypfs-documents2/2046>

(Reverta 2017b) Reverta. 2017b. Annual Report 2016 (Unaudited).
Annual report by Reverta for 2016.
<https://elischolar.library.yale.edu/ypfs-documents2/1775>

(Reverta 2018) Reverta. 2018. Annual Report 2017.
Annual report by Reverta for 2017.
<https://elischolar.library.yale.edu/ypfs-documents2/1771>

(Reverta 2019) Reverta. 2019. Annual Report 2018.
Annual report by Reverta for 2018 (in Latvian).
<https://elischolar.library.yale.edu/ypfs-documents2/1979>

(Reverta 2022) Reverta. 2022. Annual Report 2021.

Annual report by Reverta for 2021 (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1983>

(Reverta 2023) Reverta. 2023. Annual Report 2022.

Annual report by Reverta for 2022 (in Latvian).

<https://elischolar.library.yale.edu/ypfs-documents2/1359>

(Treasury 2009) Treasury of the Republic of Latvia (Treasury). 2009. Public Report for 2008.

Annual report by the Treasury for 2008.

<https://elischolar.library.yale.edu/ypfs-documents2/1966/>

(Treasury 2010) Treasury of the Republic of Latvia (Treasury). 2010. Public Report for 2009.

Annual report by the Treasury for 2009.

<https://elischolar.library.yale.edu/ypfs-documents2/1965>

(Treasury 2011) Treasury of the Republic of Latvia (Treasury). 2011. Public Report for 2010.

Annual report by the Treasury for 2010.

<https://elischolar.library.yale.edu/ypfs-documents2/1967>

(Treasury 2013) Treasury of the Republic of Latvia (Treasury). 2013. Public Report for 2012.

Annual report by the Treasury for 2012.

<https://elischolar.library.yale.edu/ypfs-documents2/1969/>

(Treasury 2015) Treasury of the Republic of Latvia (Treasury). 2015. Public Report for 2014.

Annual report by the Treasury for 2014.

<https://elischolar.library.yale.edu/ypfs-documents2/1970/>

(Treasury 2016) Treasury of the Republic of Latvia (Treasury). 2016. Public Report for 2015.

Annual report by the Treasury for 2015.

<https://elischolar.library.yale.edu/ypfs-documents2/1971/>

(Treasury 2017) Treasury of the Republic of Latvia (Treasury). 2017. Public Report for 2016.

Annual report by the Treasury for 2016.

<https://elischolar.library.yale.edu/ypfs-documents2/1972>

(Treasury 2018) Treasury of the Republic of Latvia (Treasury). 2018. Public Report for 2017.

Annual report by the Treasury for 2017.

<https://elischolar.library.yale.edu/ypfs-documents2/1973>

Key Academic Papers

(Arnold 2025) Arnold, Vincient. 2025. "Emergency Liquidity Assistance and Monetary Financing in the European Union: A Case Study in Fiscal Cooperation?" Yale Program on Financial Stability, *Systemic Risk Blog*, January 30, 2025.

Policy note discussing the application of monetary financing regulations on emergency liquidity assistance in Europe.

<https://som.yale.edu/story/2025/emergency-liquidity-assistance-and-monetary-financing-european-union-case-study-fiscal>

(Bojāre and Romānova 2017) Bojāre, Kristina, and Inna Romānova. 2017. "The Factors Affecting the Profitability of Banks: The Case of Latvia." *International Journal of Economics and Business Administration*, V, no. 4: 78–95.

Article on the business model and profitability of banks in Latvia.

<https://elischolar.library.yale.edu/ypfs-documents2/1363>

(Decker 2024a) Decker, Bailey. 2024a. "Latvia: Parex Bank Capital Injection, 2008." *Journal of Financial Crises* 6, no. 3.

YPFS case study examining the recapitalization of Parex.

<https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/16/>

(Decker 2024b) Decker, Bailey. 2024b. "Latvia Parex Bank Restructuring, 2008." *Journal of Financial Crises* 6, no. 1.

YPFS case study examining the restructuring of Parex.

<https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss1>

(Epstein and Rhodes 2019) Epstein, Rachel, and Martin J. Rhodes. 2019. "Good and Bad Banking on Europe's Periphery: Pathways to Catching up and Falling Behind." *West European Politics* 42, No. 5: 965–88, January, 965–88.

Journal article on bank business models and profitability on Europe's east and south.

<https://elischolar.library.yale.edu/ypfs-documents2/1365>

(Kelly et al. 2025) Kelly, Steven, Vincient Arnold, Greg Feldberg, and Andrew Metrick. 2025. "Survey of Ad Hoc Emergency Liquidity Programs." *Journal of Financial Crises* 7, no. 1.

Survey of YPFS case studies examining the provision of ad hoc emergency liquidity.

<https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/3/>

(Wiggins et al. 2022) Wiggins, Rosalind Z., Sean Fulmer, Greg Feldberg, and Andrew Metrick. 2022. "Broad-Based Emergency Liquidity Programs." *Journal of Financial Crises* 4, no. 2.

YPFS survey examining broad-based emergency lending.

<https://elischolar.library.yale.edu/journal-of-financial-crises/vol4/iss2/3>

Other

(EC n.d.) European Commission (EC). n.d. "Latvia and the Euro." Webpage containing information on Latvia's official currency. Accessed August 9, 2023.

Latvia joined the European Union in 2004 and adopted the euro on 1 January 2014.

<https://elischolar.library.yale.edu/ypfs-documents2/3441>

(Latvian Journal n.d.) Latvian Journal. n.d. "Official Gazette." Accessed June 8, 2023.

Webpage containing information on the purpose of the Latvian Journal.

<https://elischolar.library.yale.edu/ypfs-documents2/3442>

Copyright 2025 © Yale University. All rights reserved. To order copies of this material or to receive permission to reprint any or all of this document, please contact the Yale Program on Financial Stability at ypfs@yale.edu.